

PART-B

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INSTRUCTIONS

1. Check that you have **10 printed pages**. The PART-B of the examination has **4 questions**, for a total of **20 points**.
2. Attempt **all questions**.
3. There is **no credit** for a solution if the appropriate work is not shown, even if the answer is correct.
4. Write your answers in this booklet and only in the **space marked for answers**. Any answer written in any space other than the designated space will **not be evaluated**.
5. The pages numbered **8 to 10** are kept as **additional pages**. If you cannot able to fit a complete answer in the space provided just after the question, you can use these three pages by referring the page number of additional page in the original space.
6. At the beginning of the examination, a supplementary sheet has been provided only for rough work. Should you need more, please ask the invigilator.
7. No questions require any clarification from the instructor or invigilators, even if a question has an error or incomplete data. The students are advised to write answer according to their understanding or write reasons for why it is not possible to solve partially or completely that question by citing errors/insufficient data.

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Question:	1	2	3	4	Total
Points:	6	7	5	2	20
Score:	0	NA	1	1	02

QUESTIONS

1. (6 points) Let

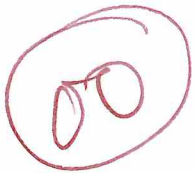
$$S = \begin{pmatrix} S_{yy} & S_{yX}^T \\ S_{yX} & S_{XX} \end{pmatrix}$$

be the partitioned sample covariance matrix of $Y_{1 \times 1}$ and $X_{q \times 1}$ based on a centered (with respect to sample mean) sample of size n . Prove that the squared sample first canonical correlation r_1^2 is identical to the coefficient of determination (R^2) obtained from the multiple linear regression of Y on the vector X .

$$\Sigma_{11} = S_{yy} \quad \Sigma_{21} = S_{yX}^T \quad \Sigma_{12} = S_{yX} \quad \Sigma_{22} = S_{XX}$$

$$\left\{ \begin{array}{l} \begin{matrix} -1/2 & -1 & -1/2 \\ \Sigma_{11} & \Sigma_{12} & \Sigma_{22} \end{matrix} \begin{matrix} -1/2 \\ \Sigma_{21} \\ \Sigma_{11} \end{matrix} \\ p_1^* \geq p_2^* \geq \dots \geq p_p^* \\ e_1 \quad e_2 \quad \dots \quad e_p \\ U_1 = e_1 \Sigma_{11}^{-1/2} Y \end{array} \right\} \xrightarrow{\text{1st canonical pair}} \left\{ \begin{array}{l} \begin{matrix} -1/2 & -1 & -1/2 \\ \Sigma_{22} & \Sigma_{21} & \Sigma_{11} \end{matrix} \begin{matrix} -1/2 \\ \Sigma_{12} \\ \Sigma_{22} \end{matrix} \\ p_1^* \geq p_2^* \geq \dots \geq p_p^* \\ f_1 \quad f_2 \quad \dots \quad f_p \\ V_1 = f_1 \Sigma_{22}^{-1/2} X_{q \times 1} \end{array} \right.$$

$$\frac{1}{\sqrt{S_{yy}}} S_{yx}^T S_{xx}^{-1} S_{yx} \frac{1}{\sqrt{S_{yy}}} = \frac{1}{S_{yy}} S_{yx}^T S_{xx}^{-1} S_{yx}$$



$$\left\{ \begin{array}{l} \text{coefficient of determination} = R^2 \\ = 1 - \frac{SS_{\text{res}}}{SS_{\text{total}}} \\ = 1 - \frac{\sum (y_i - \hat{y}_i)^2}{\sum (y_i - \bar{y})^2} \\ = \frac{SS_{\text{reg}}}{SS_{\text{total}}} \\ = \frac{\sum (\hat{y}_i - \bar{y})^2}{\sum (y_i - \bar{y})^2} \end{array} \right.$$

$$= \frac{(\hat{Y} - \bar{Y})^T (\hat{Y} - \bar{Y})}{(Y - \bar{Y})^T (Y - \bar{Y})}$$

$$\hat{Y} = HY$$

$$H = X (X^T X)^{-1} X^T$$

2. Suppose you are performing a factor analysis on a 4×4 sample covariance matrix $\mathbf{S}$. The eigenvalues of $\mathbf{S}$ are $\lambda_1 = 0.8$, $\lambda_2 = 2.1$, $\lambda_3 = 4.2$, and $\lambda_4 = 0.2$. The corresponding normalized eigenvectors are $\mathbf{e}_1, \mathbf{e}_2, \mathbf{e}_3$, and $\mathbf{e}_4$. You decide to extract $m = 2$ factors using the principal component method.
- (a) (2 points) Write down the explicit mathematical expression for the estimated factor loading matrix $\tilde{\mathbf{L}}$ in terms of the given eigenvalues and eigenvectors.
 - (b) (1 point) Let the first row of $\tilde{\mathbf{L}}$ be $\tilde{\mathbf{l}}_1^T = [0.8, -0.4]$. Calculate the estimated communality $\tilde{h}_1^2$ for the first variable.
 - (c) (4 points) Prove that the sum of all estimated communalities $\sum_{i=1}^p \tilde{h}_i^2$ is exactly equal to the sum of the largest $m = 2$ eigenvalues of $\mathbf{S}$.

$$\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx$$

Let us

$$\left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right) = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right)$$

$$\left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right) = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right)$$

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$$\left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right) = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right)$$

Let us show that the above integral is not equal to zero. We will use the fact that the function $f(x)$ is not identically zero.

$$\left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right) = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right)$$

Our main aim is to show that the above integral is not equal to zero. We will use the fact that the function $f(x)$ is not identically zero.

$$\left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right) = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right)$$

$$\left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right) = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right)$$

$$\left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right) = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right)$$

$$\left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right) = \left(\frac{1}{\sqrt{2\pi}} \int_{-\infty}^{\infty} f(x) e^{-\frac{x^2}{2}} dx \right)$$

3. (5 points) Let $X_1, X_2, \dots, X_n$ be a random sample of size n from a distribution with mean $\mu \in \mathbb{R}$ and variance μ^2 . Let $\bar{X}_n = \frac{1}{n} \sum_{i=1}^n X_i$. Derive a variance-stabilizing transformation $g(\bar{X}_n)$ such that the asymptotic variance of $g(\bar{X}_n)$ does not depend on μ .

$$\mathbb{E}(\bar{X}_n) = \mu \quad \left(\frac{1}{n} \times n \mu = \mu \right) \quad \checkmark$$

$$\text{Var}(\bar{X}_n) = \frac{1}{n^2} \times n \mu^2 = \frac{\mu^2}{n}$$

we know

$$\sqrt{n}(\bar{X}_n - \theta) \approx N(0, \sigma^2)$$

$$\sqrt{n}(g(\bar{X}_n) - \theta) \approx N(0, (g'(\theta))^2 \sigma^2)$$

then $\sqrt{n}(g(\bar{X}_n) - \theta) \approx N(0, (g'(\theta))^2 \sigma^2)$

let's consider $g(x) = \ln x$ then $g'(x) = \frac{1}{x}$

$$g'(\bar{X}_n) = \frac{1}{\bar{X}_n} \Rightarrow g'(\mu) = \frac{1}{\mu}$$

$$\sqrt{n}(g(\bar{X}_n) - \theta) \approx N\left(0, \frac{1}{\mu^2} \times \frac{\mu^2}{n}\right) = N\left(0, \frac{1}{n}\right)$$

we can notice that the asymptotic variance doesn't depend on μ .

~~g is $\ln(x)$~~

But here the variance is not stable $\because$ it dependent on sample size and as $n \rightarrow \infty$ variance $\rightarrow 0$

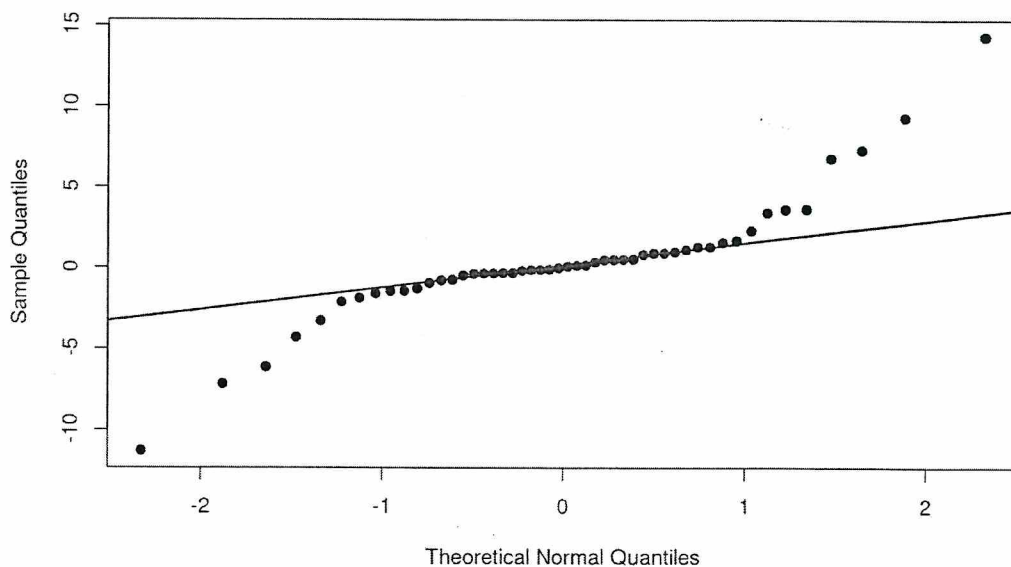
we can take $g(x) = \frac{x}{\sigma} \Rightarrow g'(x) = \frac{1}{\sigma}$

$$N\left(0, \frac{1}{\sigma^2} \times \frac{\mu^2}{n}\right) = N(0, 1)$$

$$g(\bar{X}_n) = \frac{\bar{X}_n}{\sqrt{\text{Var}(\bar{X}_n)}}$$

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4. (2 points) The figure below displays a Normal Q-Q plot for a dataset of size $n = 50$. Interpret this plot to determine if the data follows a normal distribution. If the normality assumption is violated, specify which class of distributions would more accurately characterize the data.



No the data doesn't follow normal distribution, because if the data followed normal distribution the straight line and the points on the figure would coincide. (here the theoretical normal quantiles and sample quantiles don't match)

The class of distribution which would more accurately characterise the data is uniform distribution

① They are uniformly distributed (i.e. they almost coincide with $y = x$ line)

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ADDITIONAL PAGES FOR ANSWERS

